IN THE NATIONAL COMPANY LAW TRIBUNAL

ALLAHABAD BENCH, PRAYAGRAJ

CA (CAA) No. 25/ALD/2023
(First Motion)

Under Section 230 to 232 and other Applicable Provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements & Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF AMALGAMATION OF:

HARDAYAL INFRATECH PRIVATE LIMITED

Having its Registered Office at:
Hardayal Campus, Etah Road
Shikohabad Firozabad UP-283135
PAN :-AACCH9912M,
Jurisdictional IT Dept: Ward 2 (1) (1), Sanjay Place, Agra-282002

TRANSFEROR COMPANY NO.1 / APPLICANT COMPANY NO.1

AND

HARDAYAL BUILDTECH PRIVATE LIMITED

Having its Registered Office at:
Hardayal Campus, Etah Road
Shikohabad Firozabad UP-283135
PAN :-AADCH3990E
Jurisdictional IT Dept: Ward 2 (1) (1), Sanjay Place, Agra-282002

TRANSFEROR COMPANY NO.2 / APPLICANT COMPANY NO.2

WITH

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HARDAYAL INFRA PROJECTS PRIVATE LIMITED

Having its Registered Office at:
Hardayal Campus, Etah Road
Shikohabad Firozabad UP-283135
PAN :-AADCH3989D
Jurisdictional IT Dept: Circle 2 (1) (1), Sanjay Place, Agra-282002

TRANSFEREE COMPANY / APPLICANT COMPANY NO.3

Order delivered on: 26th October, 2023

CORAM: Hon'ble Mr. Praveen Gupta, Member (Judicial)

Hon'ble Mr. Ashish Verma, Member (Technical)

Physically Present:-

For the Applicant Company: Sh. Suyash Agarwal, Adv.

ORDER

1. This is a joint first motion Application filed by the Applicant Companies namely- Hardayal Infratech Private Limited (the Transferor Company No.1/Applicant Company No. 1); Hardayal Buildtech Private Limited (the Transferor Company No.2/Applicant Company No. 2) with Hardayal Infra Projects Private Limited (Transferee Company/Applicant Company) under Sections 230 & 232 of the Companies Act, 2013 (the Act), the Companies (Compromises, Arrangements and Amalgamations) Rules,

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2016, the National Company Law Tribunal Rules, 2016, and other applicable provisions, if any, in relation to the Scheme of Amalgamation of Hardayal Infratech Private; Hardayal Buildtech Private Limited with Hardayal Infra Projects Private Limited. The said Scheme is attached as **Annexure-7** of the Application.

2. The Applicant Companies have prayed for dispensation of the requirement of the convening meetings of the Equity Shareholders and Unsecured Creditors of the Applicant Companies. The Applicant Companies do not have any Secured Creditor.

3. The Applicant Company No.1 is engaged in the business of real estate and construction.

4. The Applicant Company No. 2 is engaged in the business of real estate, construction and allied activities.

5. The Applicant Company No.3 is engaged in the business of real estate, construction of roads, buildings and allied activities.

6. It is submitted that the registered office of all the applicant companies are situated in the State of Uttar Pradesh. Hence, the jurisdiction of applicant companies lies with this Hon'ble Bench.

7. The merger of the Transferor Company No.1 and Transferor Company No.2 with the Transferee Company would inter-alia have the following benefits: -

a. All the Transferor Companies and the Transferee Company are closely held Group Companies under common shareholding, management and control. The proposed amalgamation of the Transferor Companies with the Transferee Company would result in business synergy, consolidation of various Group Companies and pooling of their resources into a single entity.

b. The Scheme of Amalgamation would result in pooling of physical, financial and human resource of these Companies for the most beneficial utilization of these factors in the combined entity. Post Scheme, the Transferee Company will enjoy larger net worth and financial resources.

c. The proposed Scheme of Amalgamation will result in usual economies of a centralized and a large company including elimination of duplicate work, reduction in overheads, better and more productive utilization of financial, human and other resource and enhancement of overall business efficiency. The proposed Scheme will enable these Companies to combine their managerial and operating strength, to build a wider capital and financial base and to promote and secure overall growth.

d. The proposed Scheme of Amalgamation will also enable substantial saving in terms of cost incurred on compliance management and increased efficiency.

e. The proposed amalgamation would enhance the shareholders' value of the Transferor and the Transferee Companies.

f. The proposed Scheme of Amalgamation will have beneficial impact on the Transferor and the Transferee Companies, their shareholders, employees and other stakeholders and all concerned.

8. It is stated that the Board of Directors of the Applicant Companies in its meetings held on 01.05.2023 have considered and unanimously approved the proposed Scheme of Amalgamation subject to sanctioning of the same by this Hon'ble Tribunal. The copy of resolution passed by the Board of Directors of the Applicant Companies are annexed with the Application as Annexure No.11 and Annexure No.12 with the application.

9. The appointed date of the Scheme is 01.04.2023 as mentioned in the Para. 2(b) in Part I under definition of the Scheme of Amalgamation at Page No.91 in Vol.1 which is annexed as Annexure No.7 with the application.

10. It is stated that the Applicant Companies have filed their Audited Financial Statements as on 31.03.2023 and the same are annexed together as Annexure No.9 with the Application.

11. It is submitted that in terms of the provisions of Section 230(7) and Section 232(3) of the Act, the Applicant Companies have filed Certificates dated 19.04.2023 respectively issued by their respective Statutory Auditors,

certifying that the Scheme is in compliance with the Accounting Standards prescribed under Section 133 of the Act and the same are annexed as Annexure: A-19 with Application.

12. It has been further stated that the Report on Valuation of Shares and Share Exchange Ratio for the proposed Scheme of Amalgamation has been issued by Ms. Aanchal Jain, Registered Valuer in respect of Securities or Financial Assets with the Insolvency and Bankruptcy Board of India (IBBI) vide registration no. IBBI/RV/03/2019/12446 and the same is annexed as Annexure No.8 with the Application.

13. It is stated that the Scheme also takes care of the interests of the workmen and staff (employees) of the Companies, by virtue of Point 11 of the Part IV of the Scheme (Annexure – A-7) of this application.

14. It is also submitted and deposed that there are no sectoral regulator(s) in the Applicant Company whose approval may be required for the sanction of the Scheme of Amalgamation except the statutory authorities i.e. (a) the Central Government through the office of the Regional Director,

Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; (d) RERA and (e) the Income Tax Department.

15. It is further submitted that during the course of hearing that the Scheme of Amalgamation will not attract the provisions of the Competition Act, 2002. Hence, no intimation to / approval from the Competition Commission of India (CCI) is required for the present Scheme of Amalgamation.

16. It is also submitted and deposed that there are no legal proceedings, inquiry, inspection, investigation, prosecution, litigation pending before any court of law or Tribunal against the Applicant Company. Further, it is also submitted that neither any winding up application has been filed against the Applicant Company nor there are any liquidation proceedings against the Applicant Company. The Applicant Company is not facing any CIRP process nor has been struck off from Registrar of Companies.

17. The applicant company have furnished the following documents: -

a) Audited Financial Statement as on 31.03.2023 of all the Applicant Companies (Annexure No.9 with the Application.).

b) List of Equity Shareholders of the applicant companies duly certified by the Chartered Accountant along with respective consent affidavits of equity shareholders approving the Scheme and dispensing with the requirement to convene the meeting. (Annexure No.13, Annexure No.14 and Annexure No.15 respectively, with the Application).

c) List of Unsecured Creditors duly certified by the Chartered Accountant along with respective consent affidavits of Unsecured Creditors approving the Scheme. (Annexure No.16, Annexure No.17 and Annexure No.18 respectively, with the Application).

d) Certified true copy of resolution passed by the board of directors of applicant companies (Annexure No.11 and Annexure No.12 respectively, with the Application).

e) Valuation Report specifying the proposed share exchange ratio and indicating the fair value of equity shares (Annexure No.8).

f) Proposed Scheme of Amalgamation (Annexure No.7).

g) Certificates of Statutory Auditors of the respective companies to the effect that accounting treatment proposed in the Scheme is in conformity with Section 133 of Companies Act, 2013 (Annexure No.19).

18. That the Applicant Company have furnished the details of the Equity Shareholders, Secured Creditors and Unsecured Creditors along with their consent affidavits, as the case may be, as per the following detail:

Company	No. of Equity Shareholders	Consent Given	No. of Secured Creditors	Consent Given	No. of Un-secured Creditors	Consent Given
Transferor Company No.1/Applicant Company No.1	2	All (100%)	NIL	NA	4	All (100%)
Transferor Company No.2/Applicant Company No.2	3	All (100%)	NIL	NA	1	All (100%)
Transferee Company/Applicant Company No.3	2	All (100%)	NIL	NA	9	All (100%)

19. Accordingly, the directions of this Bench in the present case are as under:

i. In relation to the Applicant Company no.1:-

a) The meeting of the Equity Shareholders of the Applicant Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Applicant Company, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of the Applicant Company is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

ii. In relation to the Applicant Company no.2:-

a) The meeting of the Equity Shareholders of the Applicant Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

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b) Since, there are no Secured Creditors in the Applicant Company, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of the Applicant Company is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

iii. In relation to the Applicant Company no.3:-

a) The meeting of the Equity Shareholders of the Applicant Company is dispensed herewith, keeping in view that all Equity Shareholders have given their consents by way of affidavits.

b) Since, there are no Secured Creditors in the Applicant Company, the requirement of convening the meeting Secured Creditors does not arise.

c) The meeting of the Unsecured Creditors of the Applicant Company is dispensed herewith, keeping in view that all Unsecured Creditors have given their consents by way of affidavits.

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20. In view of the above, the First Motion Application stands allowed by giving liberty to the Applicant Company to file Second Motion Petition as per law, with a direction that the Applicant Company shall make specific prayer for sending notices to the (a) the Central Government through the office of the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Ministry of Corporate Affairs, Kanpur; (c) The Official Liquidator, Uttar Pradesh, Allahabad; and (d) the Income Tax Department and (e) RERA in the Second Motion Petition.

21. The Company Petition for confirmation of the Scheme is to be filed within the time period prescribed under the provisions of the Act and corresponding rules made thereunder.

22. That appropriate prayer would also be made in the second motion petition for publication in newspaper

23. With the aforesaid directions, the First Motion Application bearing CA(CAA)No.25/ALD/2023 is disposed of accordingly.

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24. Certified copy of this order, if applied or, be supplied to the parties, subject to compliance with all requisite formalities.

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ASHISH VERMA
MEMBER (TECHNICAL)

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PRAVEEN GUPTA
MEMBER (JUDICIAL)

26th October, 2023

Aditi Kharbanda
(LRA)